

## Global Luxury Goods

# Global Luxury Goods: 10 Key Takeaways from Our Trip to China



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*We have been on the road with a group of investors in Hong Kong and Shanghai to meet with public and private companies, retailers, industry insiders, to get the temperature of the luxury and fashion market in China. (See our last year's takeaways: [Global Luxury Goods – From the Road in China](#)).*

**1. Chinese luxury demand is stabilising from a weak base and remains highly polarised, with very strong top-end spending and still-fragile middle-class demand.**

The high end continues to spend on luxury goods, travel and hospitality, but this is not translating into a broad-based rebound, as middle-income consumers remain cautious, more selective and less willing to stretch for big-ticket, logo-heavy purchases.

**2. Hong Kong is a bright spot, supported by local consumers and the return of tourists.** A firmer residential property market and rising transaction volumes are feeding into a “feelgood” factor, which, combined with 11 months of retail sales growth and improving hotel metrics, is underpinning better discretionary spending and luxury demand.

**3. Mainland tier 1 cities show early but uneven improvement, helped by signs of property stabilisation.** Transaction volumes are up in Tier 1 cities and there is some price recovery, but meaningful price appreciation is concentrated in the very top, prime locations, leaving many mainstream areas and mall projects still under pressure.

**4. Oversupply of malls and stores continues to weigh on the market, keeping pressure on weaker locations and formats.** Luxury retail consolidation is firmly on the agenda, with brands closing underperforming doors, shrinking footprints and concentrating on a smaller number of highly productive, flagship-type locations in the best tier 1 malls (see [Global Luxury Goods: Retail Network dynamics in China](#)).

**5. Brand polarisation has intensified:** Hermès, Louis Vuitton, Chanel, Van Cleef & Arpels and top Swiss watch maisons remain very strong, while many tier 2 and tier 3 brands struggle to maintain relevance and productivity. In practice, this means the strongest houses are still able to expand space, hold price and invest in experiences, while weaker names increasingly reducing their retail network and likely consumer mindshare too.

**6. “China for China” is now central to strategy,** with global brands localising assortments, storytelling and clienteling rather than simply importing global playbooks. Examples range from tailoring product and pricing to Mainland consumers, to building WeChat-centric CRM, local KOL partnerships and lifestyle ecosystems (cafés, museums, club-like spaces) designed specifically around Chinese client expectations.

**7. Local brands have become serious competitors in beauty, RTW and jewellery, especially at entry price points.** Songmont and Grotto in leather goods, Laopu in jewellery, and domestic beauty brands such as Mao Geping and others are winning share by combining credible product with strong cultural storytelling, digital engagement and sharper value-for-money than many international aspirational brands (see [Richemont and the Chinese jewellery market](#)).

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**8. In the context of subdued middle-class demand, global brands are leaning heavily on creative activations and experiential formats to defend pricing power and share of mind.** High-impact examples include The Louis in Shanghai, craftsmanship events (e.g, Hermes), and branded pop-ups that turn stores and malls into destinations rather than simple points of sale (see [Global Luxury Goods: The Battle for Attention](#)).

**9. Pressured middle-class consumers are clearly value-conscious, trading down within brands or into outlets and local brands.** Years of price increases have made shoppers far more price aware; instead of absorbing further hikes, many choose entry SKUs, factory outlets, second-hand platforms or well-positioned Chinese brands that offer better perceived value at lower absolute tickets (see [Global Luxury Goods: Chinese demand dynamics](#)).

**10. For listed names, the field trip supports a more constructive stance on the strongest global houses but reinforces caution elsewhere.** Louis Vuitton, Dior and Richemont's key maisons look well placed to navigate a selective recovery, while Kering and more middle-class dependent or tier-2 brands still lack clear evidence of sustainable turnaround, leaving their recovery very much in question (see [Global Luxury Goods: Preparing for consumer polarisation](#)).

## BERNSTEIN TICKER TABLE

|                            |        |     | 18 May   | TTM      |         | Adjusted EPS |        |       |       | Adjusted P/E (x) |       |       |
|----------------------------|--------|-----|----------|----------|---------|--------------|--------|-------|-------|------------------|-------|-------|
|                            |        |     | 2026     |          |         |              |        |       |       |                  |       |       |
|                            |        |     | Closing  | Price    | Rel.    |              |        |       |       |                  |       |       |
| Ticker                     | Rating | Cur | Price    | Target   | Perf.   | Cur          | 2025A  | 2026E | 2027E | 2025A            | 2026E | 2027E |
| BIRK (Birkenstock)         | M      | USD | 32.12    | 50.00    | (66.0)% | EUR          | 1.85   | 2.01  | 2.49  | 14.9             | 13.7  | 11.1  |
| BC.IM (Brunello Cucinelli) | O      | EUR | 82.10    | 108.00   | (34.9)% | EUR          | 1.99   | 2.26  | 2.65  | 41.3             | 36.3  | 31.0  |
| BRBY.LN (Burberry)         | O      | GBP | 1,083.00 | 1,300.00 | (1.4)%  | GBP          | 0.24   | 0.39  | 0.55  | 44.3             | 27.9  | 19.7  |
| CFR.SW (Richemont)         | O      | CHF | 154.65   | 200.00   | (15.5)% | EUR          | 6.39   | 6.12  | 6.87  | 26.4             | 27.6  | 24.6  |
| ZGN                        | O      | USD | 12.69    | 14.00    | 38.2%   | EUR          | 0.45   | 0.42  | 0.60  | 24.3             | 26.0  | 18.2  |
| EL.FP (EssilorLuxottica)   | M      | EUR | 174.20   | 185.00   | (42.5)% | EUR          | 6.79   | 7.65  | 8.95  | 25.6             | 22.8  | 19.5  |
| RMS.FP (Hermes)            | O      | EUR | 1,580.00 | 2,150.00 | (47.5)% | EUR          | 43.12  | 44.33 | 52.47 | 36.6             | 35.6  | 30.1  |
| KER.FP (Kering)            | M      | EUR | 239.50   | 220.00   | 27.5%   | EUR          | 4.35   | 6.66  | 10.04 | 55.1             | 36.0  | 23.9  |
| MC.FP (LVMH)               | O      | EUR | 456.25   | 600.00   | (17.1)% | EUR          | 22.73  | 22.22 | 26.71 | 20.1             | 20.5  | 17.1  |
| MONC.IM (Moncler)          | M      | EUR | 49.25    | 57.50    | (21.4)% | EUR          | 2.31   | 2.44  | 2.64  | 21.3             | 20.2  | 18.7  |
| 1913.HK (Prada SpA)        | O      | HKD | 35.56    | 50.00    | (70.3)% | EUR          | 0.33   | 0.32  | 0.36  | 11.7             | 12.4  | 11.0  |
| SFER.IM (Ferragamo)        | O      | EUR | 6.94     | 8.80     | 8.5%    | EUR          | (0.30) | 0.04  | 0.15  | (23.5)           | 184.8 | 47.3  |
| UHR.SW (Swatch)            | O      | CHF | 201.90   | 180.00   | 27.1%   | CHF          | 0.03   | 4.32  | 8.16  | N/M              | 46.7  | 24.7  |
| SPX                        |        |     | 7,353.61 |          |         |              |        |       |       |                  |       |       |
| EDME                       |        |     | 1,514.18 |          |         |              |        |       |       |                  |       |       |
| EMLSF                      |        |     | 5,952.61 |          |         |              |        |       |       |                  |       |       |
| ASIAx                      |        |     | 1,894.75 |          |         |              |        |       |       |                  |       |       |

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

BRBY.LN base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

## INVESTMENT IMPLICATIONS

The trajectory of a recovery in global luxury demand remains uncertain. We find two sources of volatility at play: a) underlying demand gyrations, as consumers navigate a fragile macro-economic environment and a tenser and tenser geopolitical environment; and b) short-term investors playing the sector long and short, amplifying upswings and downswings beyond natural news flow. In this context of heightened uncertainty, we would take a more defensive posture with a core exposure to plain vanilla:

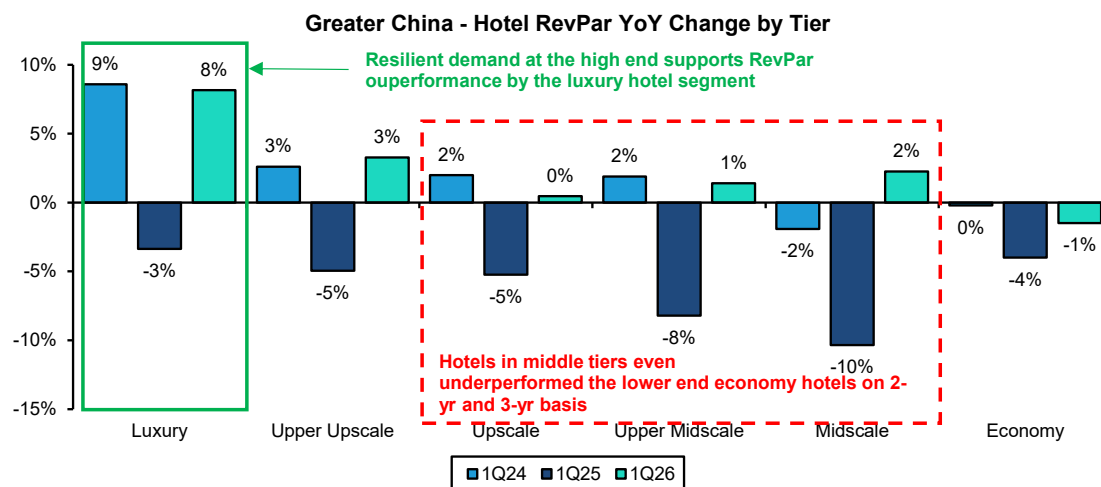
**1)** We would prefer high-quality names “at fair value”... **Richemont** is our top preference due to strong jewellery momentum and leadership, with **Brunello Cucinelli** also favored for their quality and potential mean reversion. It is difficult to be positive on **Hermès** in the short-term, but one weak quarter can be forgiven by the market, if they return to high single digit growth ([Hermès: Valuations already discount a 'Ferrari reset'](#)).

**2)** ...as well as the self-help stories with more promising trajectories. **LVMH** sits between high quality and self-help. Lingering concerns around the W&S turnaround and the Arnault family's ‘Darwinian’ succession process are counter-balanced by Dior's revival, cost efficiencies, and Louis Vuitton's strength; Turnaround at **Burberry** is well on track. One-year anniversary of the Burberry Forward strategy has paid off, in the form of improved brand momentum and stronger full-price sell-through. With a solid foundation in place, the next leg of the turnaround will see focus shifting to driving store productivity, by capitalizing on the extended momentum in other categories from the core outerwear & scarf; **Ferragamo** is at the earlier stage of and trading at the lower end of the trading range. Recent conversation with management suggests a possible turnaround in the making, as a team of “old hands” are tackling key issues around the brand, assortment and retail store network.

## DETAILS

**1. Chinese luxury demand is stabilising from a weak base and remains highly polarised, with very strong top-end spending and still-fragile middle-class demand.** The high end continues to spend on luxury goods, travel and hospitality, but this is not translating into a broad-based rebound, as middle-income consumers remain cautious, more selective and less willing to stretch for big-ticket, logo-heavy purchases.

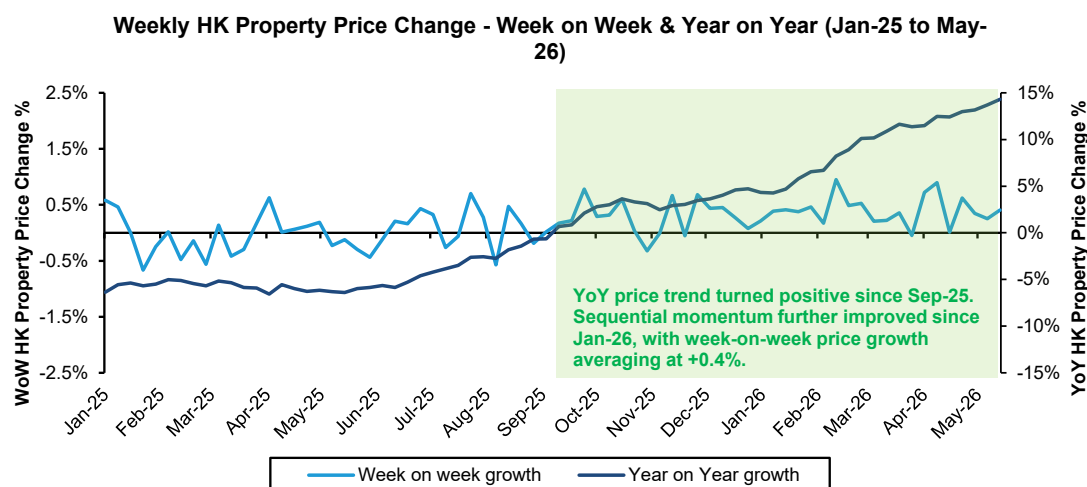
**EXHIBIT 1: Resilient demand at the higher end continues to support RevPAR outperformance within the luxury hotel segment. The middle tiers are likely most squeezed - on both a 2yr and 3yr basis, this group has even underperformed the economy segment, likely reflecting tighter consumer travel budgets and a corresponding shift in spending behavior**



Source: STR, Bernstein analysis

**2. Hong Kong is a bright spot, supported by local consumers and the return of tourists.** A firmer residential property market and rising transaction volumes are feeding into a “feelgood” factor, which, combined with 11 months of retail sales growth and improving hotel metrics, is underpinning better discretionary spending and luxury demand.

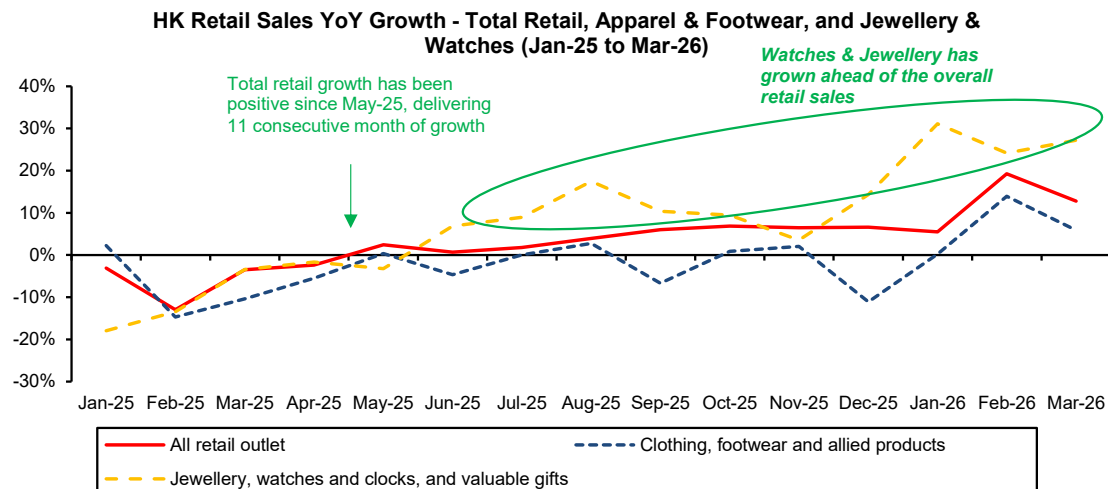
**EXHIBIT 2: The recovery in property prices, which began in Sep-25, has accelerated since Jan-26, with week-on-week price growth averaging approximately +0.4%**



We take the average of weekly price indices for Hong Kong Island, Kowloon and New Territories as a proxy for the HK region

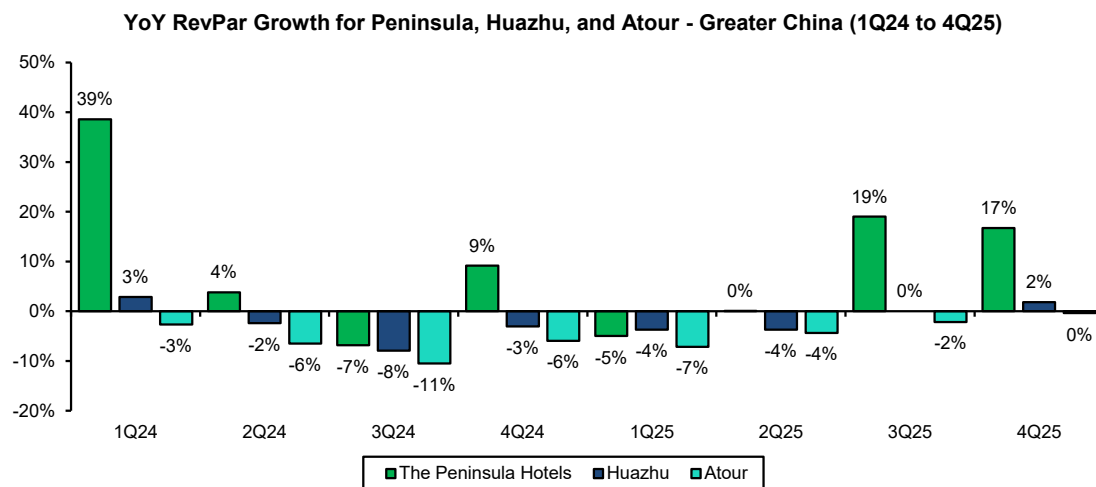
Source: Midland Realty, Bernstein analysis

**EXHIBIT 3: Improved consumer sentiment/ feel-good, driven by rising property and equity markets in Hong Kong, has translated into a buoyant retail environment, with particularly strong momentum in the watches and jewellery category**



Source: HK Census and Statistics Department, Bernstein analysis

**EXHIBIT 4: YoY RevPar growth in luxury hospitality, such as The Peninsula hotels, is well above the more mass market peers**

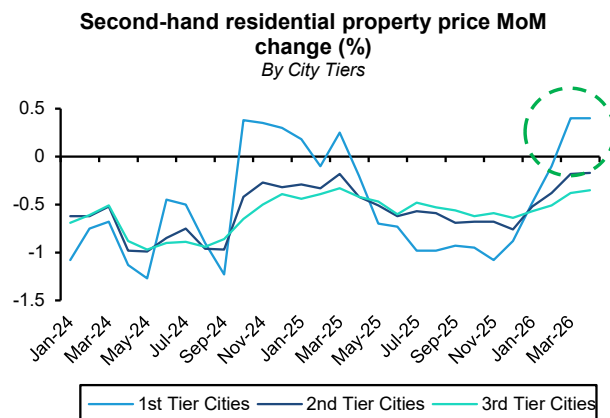


All not covered

Source: Company reports, Bernstein analysis

**3. Mainland tier 1 cities show early but uneven improvement, helped by signs of property stabilisation.** Transaction volumes are up in Tier 1 cities and there is some price recovery, but meaningful price appreciation is concentrated in the very top, prime locations, leaving many mainstream areas and mall projects still under pressure.

**EXHIBIT 5: Second-hand property prices recovery, a key driver of the consumer wealth effect in China, has been uneven and has only recently turned positive in Tier 1 cities**



April-26 is the last data point  
Source: NBS, Bernstein analysis

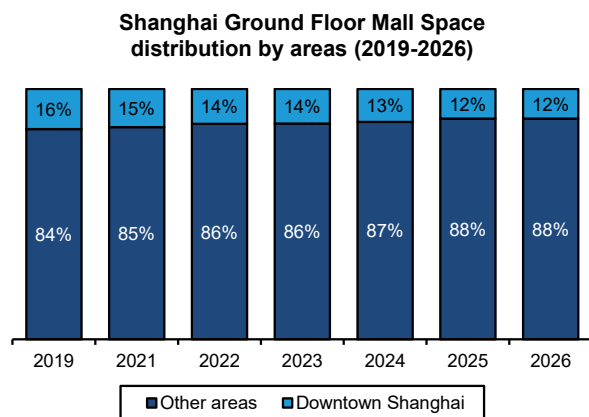
**EXHIBIT 6: Even within Tier 1 cities, the recovery has been uneven, with Shanghai showing relatively stronger momentum, while Guangzhou has lagged behind**



April-26 is the last data point  
Source: NBS, Bernstein analysis

**4. Oversupply of malls and stores continues to weigh on the market, keeping pressure on weaker locations and formats.** Luxury retail consolidation is firmly on the agenda, with brands closing underperforming doors, shrinking footprints and concentrating on a smaller number of highly productive, flagship-type locations in the best tier 1 malls (see [Global Luxury Goods: Retail Network dynamics in China](#)).

**EXHIBIT 7: Non-prime location shopping mall retail space now represents 88% share, after having grown at +6.2% CAGR 2019 to 2026 vs. +0.9% CAGR retail space growth in prime locations**

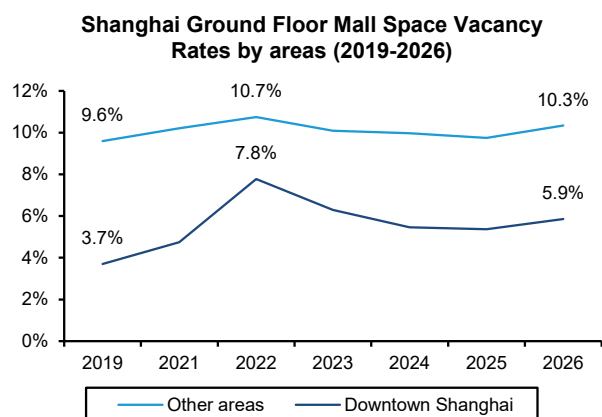


Prime space usually refers to the ground floor of shopping malls.

Downtown areas include retail space on Nanjing East Road, Nanjing West Road, Huaihai Middle Road, Xujiahui, Lujiazui

Source: Cushman & Wakefield, Bernstein analysis

**EXHIBIT 8: Vacancy rates have been notably lower in prime locations, reflecting a clear trend of brands consolidating into higher-quality assets, while the bulk of excess supply remains concentrated in non-prime areas**



Prime space usually refers to the ground floor of shopping malls.

Downtown areas include retail space on Nanjing East Road, Nanjing West Road, Huaihai Middle Road, Xujiahui, Lujiazui

Source: Cushman & Wakefield, Bernstein analysis

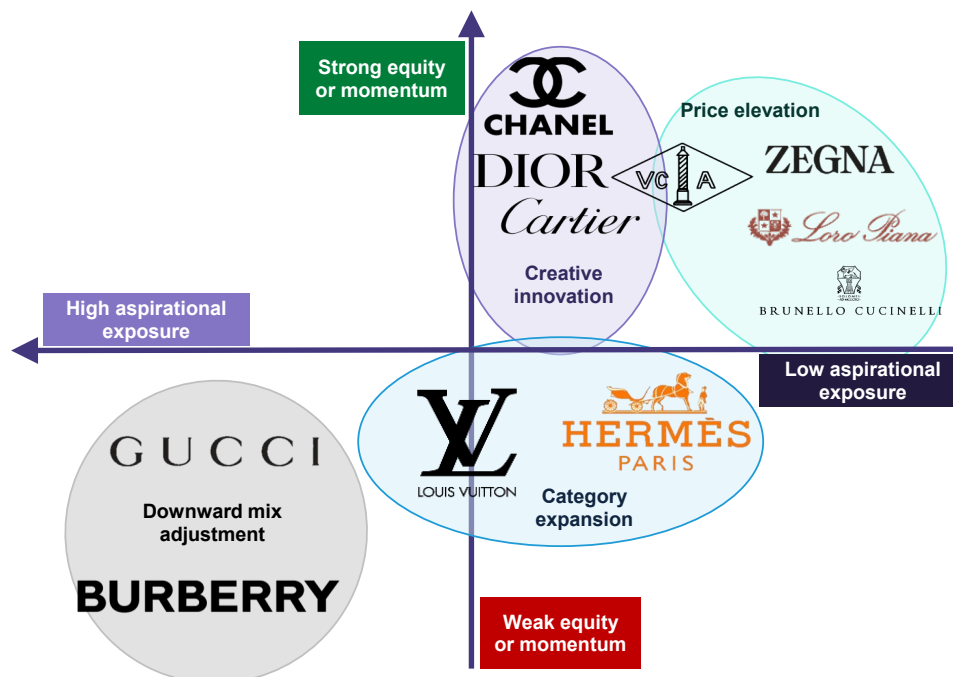
**EXHIBIT 9: Luxury brands are increasingly closing underperforming stores and consolidating into larger, higher-quality locations, as reflected in the recent wave of high-profile flagship openings and new store concepts**



Source: brand.com, Bernstein analysis

**5. Brand polarisation has intensified:** Hermes, Louis Vuitton, Chanel, Van Cleef & Arpels and top Swiss watch maisons remain very strong, while many tier 2 and tier 3 brands struggle to maintain relevance and productivity. In practice, this means the strongest houses are still able to expand space, hold price and invest in experiences, while weaker names increasingly reducing their retail network and likely consumer mindshare too.

**EXHIBIT 10: Luxury goods brands have taken divergent pricing strategies to deal with the post-Covid19 normalization of growth, as a function of their brand equity, momentum and exposure to aspirational customers**



Source: Company website, Bernstein estimates and analysis



**6. “China for China” is now central to strategy**, with global brands localising assortments, storytelling and clienteling rather than simply importing global playbooks. Examples range from tailoring product and pricing to Mainland consumers, to building WeChat-centric CRM, local KOL partnerships and lifestyle ecosystems (cafés, museums, club-like spaces) designed specifically around Chinese client expectations.

**EXHIBIT 11: The Louis is a case in point: the concept was initiated by the local China team rather than top-down from the group. Importantly, it shows how brands can deliver an engaging, highly shareable, and experiential touchpoint - even at lower price points - that strengthens brand connection and social media visibility**



Source: Bernstein photos

**EXHIBIT 12: Adidas’ Zhangyuan store in Shanghai is another strong example of a global brand successfully embracing a “China for China” strategy, spanning localised store concepts, architectural design, and tailored product offerings**



Adidas is covered by Aneesha Sherman

Source: Shanghai Government, Bernstein analysis



**7. Local brands have become serious competitors in beauty, RTW and jewellery, especially at entry price points.** Songmont and Grotto (both private) in leather goods, Laopu (not covered) in jewellery, and domestic beauty brands such as Mao Geping (not covered) and others are winning share by combining credible product with strong cultural storytelling, digital engagement and sharper value-for-money than many international aspirational brands (see [Richemont and the Chinese jewellery market](#)).

**EXHIBIT 13: Songmont also operates one of the most successful podcasts in China, covering topics such as culture, tradition, and lived experiences. This approach places greater emphasis on brand building rather than direct product promotion, similar to strategies observed at Loewe, particularly in its social media content management**

Song of Mont is a podcast by Songmont. It focuses on sharing and discussing thoughts and experiences on broader aspects of life, rather than any specific product or even the Songmont brand.

Interviewees backgrounds span from writer, actor, singer, to film director and artists, on topics such as "Come on! Let go of things that seem important", "Confused? Young people in every generation are like this"

山下

Overview

节目概览

声

PODCAST

播客

INTERVIEW

对话

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Songmont

山下

Season 02

第二季

声

文淇

“走呀！放下那些看似紧要的东西”

Vol. 07

陈丹青

“困惑？哪一代年轻人不是这样”

Vol. 08

蒋奇明、王一通

“用最笨的方法，去体验、去感受”

Vol. 09

伊莎贝尔·于佩尔

“看上去一切正常，是一种虚伪”

Vol. 10

韦唯

“上山十年，做回野生的人”

Vol. 11

贾樟柯

“过去有一种东西叫‘遥远’”

Vol. 12

徐冰

“为何‘艺术’展览越来越没意思？”

Vol. 13

Source: RED, Bernstein analysis

GLOBAL LUXURY GOODS

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**8. In the context of subdued middle-class demand, global brands are leaning heavily on creative activations and experiential formats to defend pricing power and share of mind.** High-impact examples include The Louis in Shanghai, craftsmanship events (e.g, Hermes), and branded pop-ups that turn stores and malls into destinations rather than simple points of sale (see [Global Luxury Goods: The Battle for Attention](#)).

**EXHIBIT 14: Mega-brands have demonstrated strong innovation in developing new immersive experiences to engage consumers**

|                                       |  |                                                                                                                                                                                                                                                      |  |
|---------------------------------------|--|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|
| <b>Hermes</b>                         |  | <p>Hermes in the Making travelling exhibition that showcases the brand's traditional craftsmanship, and artisanal expertise through live demos and workshops. It's now in Shanghai, after having attracted huge attention in Shenzhen a year ago</p> |  |
| <b>Chanel</b>                         |  |                                                                                                                                                                                                                                                      |  |
| <b>Louis Vuitton &amp; Loro Piana</b> |  |                                                                                                                                                                                                                                                      |  |

**Right:** Artisan demonstrating the creation of the customisable patches (e.g, the labels) that's available on LV luggages and handbags.

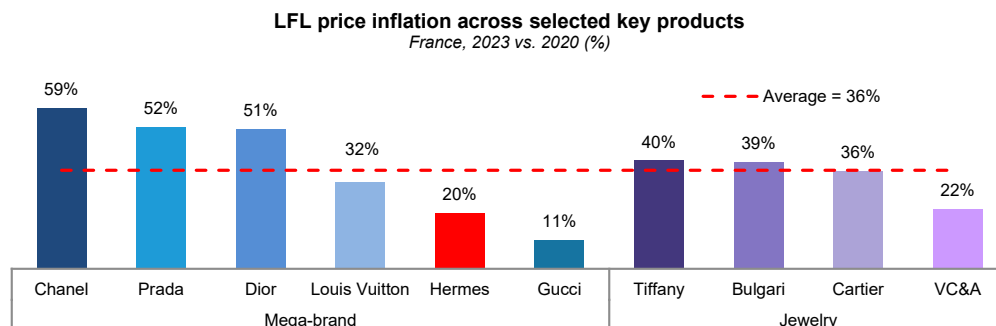
**Middle:** Louis Vuitton Hotel exhibition in Shanghai, in celebration of the 10th anniversary of Monogram. The space was transformed into a hotel-inspired setting featuring a lobby, guest room, fitness bar etc, featuring classic monogram pieces.

**Left:** "If You Know, You Know. Loro Piana's Quest for Excellence" Exhibition in Shanghai. Loro Piana's first ever exhibition, in celebration of its 100-year anniversary, providing an immersive and sensorial journey through the brand's heritage.

Source: RED, Bernstein analysis

**9. Pressured middle-class consumers are clearly value-conscious, trading down within brands or into outlets and local brands.** Years of price increases have made shoppers far more price aware; instead of absorbing further hikes, many choose entry SKUs, factory outlets, second-hand platforms or well-positioned Chinese brands that offer better perceived value at lower absolute tickets (see [Global Luxury Goods: Chinese demand dynamics](#)).

**EXHIBIT 15: Soft luxury pricing post-Covid-19 accelerated well beyond the typical 5-7% range, and moved well into the double digits**



Source: Company websites, Bernstein analysis

**EXHIBIT 16: Chinese local brands are increasingly securing leading positions during key online shopping festivals, a sharp contrast to the landscape observed just five years ago**

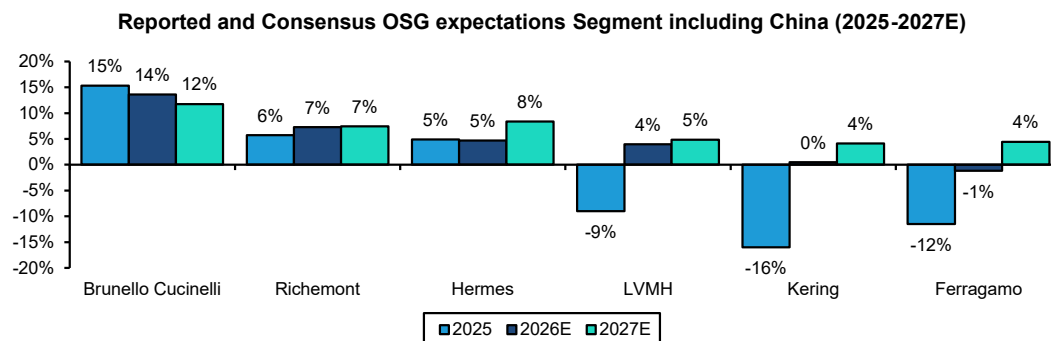
| Top-ranked brand by sales over 6.18 & 11.11 Shopping Festivals |              |               |   |           |            |               |            |
|----------------------------------------------------------------|--------------|---------------|---|-----------|------------|---------------|------------|
| Ranking                                                        | 2021 6.18    | 2021 11.11    |   | 2024 6.18 | 2024 11.11 | 2025 6.18     | 2025 11.11 |
| 1                                                              | Michael Kors | Coach         | → | Coach     | Coach      | Beneunder     | Songmont   |
| 2                                                              | Coach        | Michael Kors  |   | Songmont  | Songmont   | Songmont      | Coach      |
| 3                                                              | Tory Burch   | MCM           |   | Beneunder | MCM        | Coach         | Qiuzhen    |
| 4                                                              | MCM          | Charles Keith |   | MCM       | Grotto     | Charles Keith | Grotto     |
| 5                                                              | Gucci        | Tory Burch    |   | Grotto    | Tory Burch | Grotto        | MCM        |

**Chinese local brands**

Source: Taobao, Bernstein analysis

**10. For listed names, the field trip supports a more constructive stance on the strongest global houses but reinforces caution elsewhere.** Louis Vuitton, Dior and Richemont's key maisons look well placed to navigate a selective recovery, while Kering and more middle-class dependent or tier-2 brands still lack clear evidence of sustainable turnaround, leaving their recovery very much in question (see [Global Luxury Goods: Preparing for consumer polarisation](#)).

**EXHIBIT 17: Consensus expectations appear broadly aligned with this view, with weaker organic sales growth anticipated for Kering and Ferragamo in APAC ex-Japan over the next 24 months**



The year refers to calendar year, and corresponds to Richemont's FY26 to FY28E. We consensus where reported figures aren't available. The relevant regiona segment is APAC ex. JP for all companies, except Brunello Cucinelli, which is Asia

Source: Company reports, Visible Alpha, Bernstein analysis

## DISCLOSURE APPENDIX

**I. REQUIRED DISCLOSURES**

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

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The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIA) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

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- Underperform: Stock will trail the performance of the market index by more than 15 pp

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